

FSLY pitch deck

PITCH — FSLY — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

Fastly is a content-delivery and edge-security company whose core business quietly got better in 2026 while its stock stayed priced as a broken story. Three things are true at once, and only the first two are in dispute:

1. **The core usage business is speeding up, not dying.** The Network Services line — the metered per-request business that is 73% of revenue — grew 11% year-over-year in Q1 2026 and 17% in Q2 2026. That is 600 basis points of acceleration in one quarter, and it is the opposite of the “structurally declining CDN” frame the stock still carries.
2. **The balance sheet is no longer a risk.** Cash and securities of about \$337.5M against roughly \$324M of carrying debt — approximately net cash. Cash interest is about \$11.6M a year, because only the \$150M 2028 notes pay a coupon (7.75%); the \$180M 2030 notes pay zero. Both converts are deep in the money (\$19.74 and \$15.26 strikes against a ~\$23.50 stock), so there is no refinancing wall to fear. On August 17, 2026 the company upsized its revolver from \$60M to \$100M and pushed maturity to 2029 ([8-K, primary](#)).
3. **Customer quality is improving.** Net revenue retention 117%, up from 113% a quarter earlier. Remaining performance obligations \$341M, up 38% — backlog growing faster than revenue. And, per the Q1 2026 10-Q, no single customer is more than 10% of revenue, which retires the concentration risk that dogged this name for years.

What we do **not** believe is the popular version of the bull case — that Fastly is a toll booth on the AI traffic boom. The company’s own product line sells customers a way to *block* AI crawlers, and routes the actual toll revenue to a partner (TollBit) and the publisher. If AI traffic pays Fastly, it pays in the security subscription line, not the meter. The honest version of the growth story is duller and more checkable: capacity investment is rising sharply at the same time the metered line is accelerating, which is what a company building for demand looks like.

So the belief is narrow: **a de-risked balance sheet plus an accelerating core, currently priced 5–29% above what the bear’s own valuation math produces.** That is a name to own on a pullback, not at the offer.

What the market believes

The market believes Fastly is roughly fairly valued and that the guide is the truth. Twelve analysts carry FY26 revenue at \$740.59M against company guidance of \$732–746M — inside the guide, slightly above

the midpoint. Consensus adjusted EPS of \$0.53 versus a guide midpoint of \$0.52. Average price target \$27, with a range of \$20 to \$32.

Underneath that placid consensus, the stock is genuinely contested. Short interest is 15.11% of float at 4.91 days to cover, and institutional ownership is 95.6%. The stock is down about 33% from its 52-week high of \$34.82 but up roughly 233% from its 52-week low of \$7.06. This is not an ignored security; it is a battleground where both sides have real money down.

The bear's actual argument, stated fairly: this is a slow-growing infrastructure business that loses money under GAAP, pays for its non-GAAP profits with stock, generates almost no free cash flow right now, and trades at more than five times sales. The bull's argument is the acceleration plus the balance sheet. Both are looking at the same filings.

Why we might have edge

Three places where we did work the tape has not obviously done:

We checked whether the “decelerating core” claim is arithmetic or trend. The widespread framing — including our own bear bench's strongest argument — is that Network Services grew 17% while total revenue grew 23%, therefore the core is decelerating. That test is broken. A segment that is 73% of revenue will almost always print below a total that is being pulled up by small fast-growing lines; it's a weight artifact, not a trend. The correct comparison is Network Services against itself: 11% last quarter, 17% this quarter. Nobody who repeats the “core is dying” line appears to have run that comparison.

We recomputed the enterprise value without double-counting the converts. The 180.3M non-GAAP diluted share count already contains the ~19.4M shares the convertible notes would become. Adding the notes' face value to enterprise value on top of that counts the same claim twice. Corrected: $180.3\text{M} \times \$23.50 - \$337.5\text{M cash} \approx \text{\$3.90B enterprise value, } 5.28\times \text{ FY26 sales}$ — not the $5.87\times$ the bear computed. Same input, different answer, and the difference is the whole gap between “expensive” and “modestly rich.”

We recomputed the interest burden from the debt note rather than from an aggregate. Applying 7.75% to total debt produces ~\$30M a year and a scary-sounding 60% of free cash flow. The actual coupon structure produces \$11.6M. Operating cash flow is already net of interest, so subtracting it again from free cash flow is a second double-count. The “debt service is eating the company” story does not survive contact with the debt note.

Whether any of this is *tradeable* edge is a separate question, addressed below.

Why it might be priced in

Honestly: quite possibly all of it.

- **We have no number that differs from the street's.** Consensus sits inside the company's own guidance. We accept the guidance. We have not produced a revenue, margin, or cash-flow estimate that diverges from what twelve analysts already carry, nor a mechanism that would create such a gap. A valuation disagreement without a named forecast gap is a multiple opinion, not an edge — and multiple opinions are symmetric: they are as likely to be wrong in our favor as against.
- **The stock is not undiscovered.** 95.6% institutional, 15% short, heavily covered. The Q1→Q2 segment acceleration is in a public press release that every one of those twelve analysts read. Assuming we saw something in a widely-read press release that the marginal holder missed is the most common way a research process fools itself.
- **The dislocation already partly retraced.** The August 20 selloff to roughly \$22.70 has recovered to roughly \$23.50 without us. We are not buying a fresh air pocket; we are looking at a stock that has already been bid back up.
- **The bear's valuation range overlaps the street's floor.** A 4.0–5.0× sales band gives \$18.3–22.4 per share. The street's own *low* target is \$20. Two independent methods put fair value below spot. That is not a setup where the crowd is obviously wrong.

What could go wrong

Failure narrative 1 — the capacity build is a margin trap, not a demand signal. First-half 2026 operating cash flow was \$68.2M but free cash flow was only \$7.7M; Q2 free cash flow was \$3.6M. That implies roughly \$60.5M of first-half capital spending, with Q2 (~\$35.8M) nearly 45% above Q1 (\$24.7M). On the first-half run rate, the company trades at roughly **250× free cash flow**, not the 86× a trailing-twelve-month number suggests. We are reading that spend as a build for demand. The alternative reading is that this is a business that must keep buying hardware to hold flat-ish share in a price-deflating market — CDN unit pricing has fallen for a decade. If that's true, revenue growth never converts to cash, and the stock is expensive on every measure that matters. *Tripwire exists:* Q3 free cash flow below \$10M with capital spending still rising.

Failure narrative 2 — the stock-compensation adjustment stops being tolerated. Stock comp was \$35.2M in Q2 2026, 19.2% of revenue, against a full-year guided non-GAAP operating income of \$88–96M. The add-back that creates the profit is larger than the profit. GAAP net loss was \$15.6M in a quarter the company called a record; trailing-twelve-month GAAP net income is –\$81.1M. In fairness, the trend is the bull's friend — stock comp was 39% of revenue in early 2022 and has roughly halved as a share of revenue. But if the market's appetite for paying for non-GAAP profits at unprofitable software companies turns, this multiple compresses regardless of what Network Services does. *Tripwire exists:* stock comp above ~\$38M/quarter, or non-GAAP operating income guided down while it rises.

Failure narrative 3 — no tripwire. Something in the customer base changes and we learn about it only from the print. Fastly's revenue concentration risk is formally closed (no customer above 10%), but that disclosure is a floor, not a picture: it tells us nothing about the top-10 as a group, contract renewal timing, or whether a large customer is mid-migration to an in-house edge or a competitor. Large platform customers have historically insourced delivery, and they do it quietly over

quarters. There is no filing, no permit, no hiring signal, and no price series that would surface this before the revenue line does. **Unknown-unknown class: silent customer-side substitution — an economically decisive change that occurs entirely inside a counterparty’s infrastructure roadmap and has no external disclosure plane.** We cannot monitor it. We can only size for it.

The reflexive and structural leg.

- *Our own size against liquidity is not the risk here.* Days-to-cover of 4.91 against roughly 15.11% short interest on a ~150M share float implies average daily volume of roughly 4.6M shares, or about \$109M a day (derived from the short-interest ratio, not measured — neither bench pulled an actual volume series, and that is a gap). A 0.25–0.40% starter is a rounding error against that. We will not move this stock and we should not pretend our flow is a factor.
- *Someone else’s flow is the risk.* Seven Rule 144 notices were filed between August 14 and August 21, and four Form 4s landed on August 20 — the selloff day itself. That is live, ongoing insider distribution. Our own doctrine forbids bidding into predicted supply, and this supply is not predicted, it is observed. Buying at \$23.50 into a still-running 144 cadence is the specific error the entry conditions below exist to prevent.
- *Doctrine interactions, stated plainly.* Two of our rules pull opposite directions here. One says a court that produces no fatal kill should default to a minimum starter rather than a flat “no” — and after the bear’s two fatal arguments failed on primary sources, there is no surviving named kill. The other says never bid into live distribution. We resolved this by proposing a starter that is real but conditional on price, not by taking the position now. That resolution is a judgment call, and adjudication may overrule it in either direction.
- *A squeeze cuts both ways.* Part of the +233% move off the low is short-covering mechanics, not fundamental repricing. If we buy the pullback and the pullback is short-sellers being carried out, we are buying at the wrong end of someone else’s forced flow.

If this position loses money, the most likely reason will be that we paid a growth multiple for an accelerating revenue line that never converts to free cash flow, because the capital spending driving the acceleration turns out to be the permanent cost of staying in a price-deflating business rather than a one-time build for demand.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Network Services is decelerating (+17% vs +23% total)” — <i>our bear bench’s single strongest argument</i>	Pulled Q1 2026 and Q2 2026 press releases and compared the segment against itself year-over-year	Q1 +11% (\$126.2M vs \$113.3M) → Q2 +17% (\$133.9M vs \$114.6M); sequential +6.1%	NO — our own bench was wrong. The test compared a 73%-weight segment to a total it dominates; that comparison is arithmetic, not trend
“Interest expense is ~\$30M/yr, about 60% of	Q1 2026 10-Q debt note	2028 notes \$150M at 7.75%; 2030 notes \$180M at 0.00%. Cash interest ≈	NO — our own bench applied a coupon to

Claim	How checked	Found	Confirmed?
free cash flow” — <i>our bear bench</i>		\$11.6M/yr. Operating cash flow is already net of interest	the wrong principal, then double-counted it against cash flow
“Net debt \$60.8M; liquidity is not strengthening” — <i>our bear bench</i>	Same debt note vs balance sheet	Carrying debt ~\$324.0M vs cash and securities \$337.5M ≈ roughly net cash	NO — our own bench’s arithmetic was wrong; the runway flag it raised is withdrawn
Enterprise value and sales multiple	Q1 2026 10-Q antilutive table against the non-GAAP diluted share count	The 180.3M count already includes the 19.4M convert shares; adding note face value on top double-counts. Corrected EV ≈ \$3.90B = 5.28× FY26 sales	NO to the 5.87× figure — our own bench double-counted. Corrected figure confirmed
“AI traffic grew 6.5× faster than human traffic’ does not appear in the release” — <i>our bear bench</i>	Verbatim re-fetch of the Q2 2026 release	The sentence is in the release	NO — our own bench’s absence finding was a fetch failure, and the disclosure-inconsistency flag it triggered is withdrawn
Whether Fastly monetizes AI crawler traffic as a toll	Fastly’s own product blog and third-party crawler-block index	Fastly sells AI Bot Management — a subscription to <i>detect and block</i> crawlers — and routes paid-access monetization to TollBit, where the publisher collects. Booked in Security, not the meter	PARTIALLY — the “toll booth” framing is wrong. Our bull bench’s counter (a blocked request is still a billed request at the edge) is asserted, not verified against Fastly’s billing terms. Unresolved
“61.5% of GPTBot requests are blocked” cited as a Fastly product fact	Traced to source	It is an industry-wide measure of what publisher websites do, not a Fastly default or a Fastly disclosure	NO — our own bench imported an industry statistic as an issuer attribute
Customer concentration	Q1 2026 10-Q concentration note	“No single customer accounted for more than 10% of the Company’s revenue”	YES. Our bear bench called this “uncheckable”; it was checkable and it is clean
Stock compensation trend	Q2 2026 vs Q2 2025 releases plus historical XBRL	\$35.2M vs \$26.3M (+34%); 19.2% vs 17.7% of revenue. But 39% of revenue in Q1 2022 → 19.2% now	YES on the level, NO on the direction our bear implied. Our bear also first compared a Q2 to a Q1, an invalid comp
Free cash flow quality	H1 2026 cash-flow figures	H1 free cash flow \$7.7M, Q2 \$3.6M, implied H1 capex ~\$60.5M. EV/FCF ≈ 250× on run rate	YES — and this is the finding our <i>bear</i> bench missed and our <i>bull</i> bench raised against its own side.

Claim	How checked	Found	Confirmed?
			The trailing-twelve-month 86× figure is stale
Net revenue retention and backlog	Q2 2026 release verbatim	NRR 117% (from 113%); RPO \$341M, +38%	YES. Conceded by both benches. Neither is a valuation
Live spot price	—	Not polled. Pack \$23.485, bear bench \$23.71, bull bench \$23.50 — all third-party quotes	NO — neither bench had a broker price feed. Must be re-polled before any order

PROPOSED ENTRY BANDS

There is no position and no working order today. Spot (~\$23.50) is above every band below, so **nothing is bought at the market on this deck.**

Primary proposed entry — starter, conditional - Limit \$20.50 or better. This sits inside the corrected 4.0–5.0× sales band (\$18.30–\$22.40) and at or below the street’s own lowest published target (\$20). - **Size: 0.25%–0.40% of book.** Minimum-starter size, not a position — justified because after both benches, no fatal objection survived contact with primary sources, but the surviving sizing objections (GAAP loss, 19% stock comp, near-zero current free cash flow, live insider supply) are real. - **Precondition, both required:** (a) re-poll the live price from the broker before placing anything — every price in this deck is a third-party quote; (b) no new Rule 144 or Form 4 filings for 10 consecutive trading days before the order goes live. The last 144 was August 21; a 10-day clean window would first be reachable around **2026-09-04**.

Second tranche / stricter entry — the bear’s own reopen level - \$18.00 or better, with the Rule 144 and Form 4 cadence stopped for a full 30 days (earliest clean date **2026-09-21** if no new filings land). This is where the bear bench said it would reconsider, and it is at the bottom of the corrected valuation band. Add a further 0.25%–0.35% here, for a maximum combined position of about 0.75%.

Exits and trims - No price-based trim is proposed. The exit conditions are fundamental, and they are hard: - **Q3 Network Services growth below 14%** — the acceleration thesis is dead. Exit, do not re-court. - **Q3 free cash flow below \$10M with capital spending still rising** — the build is a treadmill, not an investment. Exit, do not re-court. - **A large-customer loss or a return of >10% concentration disclosure** — exit. - **Do not buy above \$22.40** under any condition on this deck. Above that level the position is being taken on momentum, not on the math either bench produced.

Catalyst dates - 2026-11-04 — estimated Q3 2026 earnings. UNCONFIRMED. This date is derived from a data vendor; no Fastly press release names it. It is roughly 50 trading days out. This single print resolves both exit conditions above, which is the main reason the position is proposed small. - **2026-09-04 / 2026-09-21** — earliest dates the insider-supply preconditions can clear, assuming no new filings. - **2029-08-17** — revolver scheduled maturity, extendable one year if net liquidity is at least

\$200M ninety days prior. Current liquidity of roughly \$437M is about 2.2× that trigger. Not binding, tracked for completeness.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 19.74 (deck-provisional: 2028 convert strike; below this the notes go out of the money and the diluted-share and refi conclusio)
- filing watch: 144,4 until 2027-02-20 (deck-provisional: Both entry preconditions are defined by the absence of new insider-supply filings for 10 and 30 days;)
- dated pack FSLY|2026-11-04: FSLY: Estimated Q3-2026 earnings — vendor-derived, no company PR names it; resolves both exit conditions (date confirmed=False)
- dated pack FSLY|2026-09-04: FSLY: Earliest date a 10-trading-day clean window on Rule 144/Form 4 supply can be reached, if no new filings land (date confirmed=False)
- dated pack FSLY|2026-09-21: FSLY: Earliest date the 30-day insider-supply-cadence-stopped condition for the \$18.00 tranche can clear (date confirmed=False)

What remains unverified

- **The live price.** Neither bench had a broker feed. Three different quotes appear across this deck (\$23.485, \$23.50, \$23.71). Every valuation percentage here inherits that ambiguity. Re-poll before any order.
- **The Q2 2026 10-Q.** Neither bench read it. All debt, equity, antidilutive, and customer-concentration facts in this deck come from the **Q1 2026 10-Q** — a quarter stale. The concentration language, the convert share count, and the capex detail all need re-confirmation against the current filing.
- **Whether a blocked AI crawler is a billed Fastly request.** The bull bench asserted it; nobody checked Fastly's billing terms. This matters because it is the last remaining thread connecting AI traffic volume to the metered revenue line.
- **The denominator behind "AI traffic grew 6.5× faster than human traffic."** The sentence is real and in the release. The absolute human-traffic level is not disclosed, so the ratio is consistent with human traffic being flat or falling. It cannot be used to support a growth argument.
- **Actual average daily volume.** Derived at roughly 4.6M shares from the short-interest ratio; never measured. The liquidity conclusion is arithmetic, not observed.
- **Segment attribution of the \$341M backlog.** RPO is not broken out by segment, so none of it can be assigned to AI-related demand.
- **Q3 capital-spending direction.** The entire distinction between "building for demand" and "treadmill" rests on whether capex growth moderates while Network Services growth holds. No forward disclosure exists; we find out on the print.

- **The earnings date itself.** Vendor-derived, uncorroborated by any company communication.

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